

Regulatory-Clearance Memo: Does Intake QA's Model Sit Outside the Relevant Prohibitions?

Prepared for review by **Roberta Yang** · Intake QA / Plaintiff Ops LLC · Sacramento, California
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Prepared by Intake QA / Plaintiff Ops LLC for review, correction, and sign-off by **Roberta M. Yang** (former Deputy Chief Trial Counsel, California State Bar). Ms. Yang is a **warm contact, not retained counsel**. Every "preliminary read" below is Intake QA's own analysis, expressly flagged as such, and is **not** a substitute for a retained California legal-ethics review.

Hard rule: Intake QA makes **NO public compliance claim** — no "we are AB 931 compliant," "SB 37 compliant," "Rule 5.4 clear," or equivalent — until a **retained CA legal-ethics review actually signs off**. This memo is the input to that review, not the output of it.

o. The model facts under review (stated precisely, because the analysis turns on them)

1. **Pricing is a flat MONTHLY subscription.** Core ~\$2,500/mo; Pro ~\$5,000/mo.

2. **The fee is OUTCOME-AGNOSTIC.** It is **never** a percentage of recovery, **never**

per-case / per-signed-case / per-settlement, and **never** tied to the firm's revenue or to the fees of any specific matter. The subscription is the same whether the firm signs zero cases or a hundred.

1. **Intake QA is an independent scorer / software-and-analysis vendor to LAW FIRMS (B2B).**

The customer is the firm. Intake QA scores the firm's **own** inbound intake calls and helps the firm re-engage the firm's **own** leaked leads.

1. **Intake QA does NOT steer or refer claimants** to any attorney, does **not** contact claimants directly, and does **not** participate in acquiring clients for a fee. It is the opposite vector from a "runner/capper": it never sends a claimant to a lawyer.

1. **"Analyst of Record" (Ali)** is an independent evaluator who signs a staked attestation — **not** a fee participant in the firm's cases.

If any of these facts is not actually true in a given contract or piece of copy, the analysis below **breaks** — so the first job of legal review is to confirm the facts, then the law.

1. AB 931 (2025) — "anything of value for recommending/securing an attorney's services" + out-of-state fee-sharing

The prohibition (primary source)

AB 931 (Kalra), *State Bar Act: consumer legal funding*, approved by the Governor **Oct 10, 2025**.

Two operative pieces matter to us:

- **(a) The "anything of value" prohibition.** AB 931 provides that *****"an attorney shall not compensate, promise, or give anything of value to a person for the purpose of recommending or securing the services of the attorney or the attorney's law firm," **subject to enumerated exceptions. This mirrors — and now backs with statute — the language already in** Rule of Professional Conduct 7.2*. **(Operative language quoted from the Senate Judiciary Committee analysis of AB 931, <https://sjud.senate.ca.gov/system/files/2025-06/ab-931-kalra-sjud-analysis.pdf>. Note: the exact new Business & Professions Code section number carrying this clause is not yet independently confirmed from the sources reviewed — see question for Yang, §1-Q1.)*

Enumerated exceptions (quoted from the SJUD analysis): an attorney may (a) "pay the reasonable costs of advertisements or communications permitted by Rule 7.2 ... or any successor rule," (b) "pay the usual charges of a legal services plan or a qualified attorney referral service operating in accordance with the rules established by the state bar," and (c) "pay for a law practice operating in accordance with Rule 1.17" (plus reciprocal-referral arrangements per the Rules).

- **(b) The out-of-state fee-sharing prohibition (new B&P §6156).** *****"No attorney ... shall share legal fees directly or indirectly with an out-of-state alternative business structure"*** (an entity providing legal services while allowing nonattorney ownership/ management/decision-making) unless narrow conditions apply. **This applies to contracts entered into on or after Jan 1, 2026, and §6156 is repealed as of Jan 1, 2030.** Penalty (§6156): **statutory damages of \$10,000 per violation or three times actual damages, whichever is greater**, plus injunctive relief, fees/costs, and State Bar discipline. *(B&P §6156 text via California Legislative Information / public.law and Justia; penalty per the SJUD analysis, same source.)*

Mapping our structure to AB 931

- **Against the "anything of value" clause:** the clause binds the **attorney** and targets payments made **"for the purpose of recommending or securing"** the attorney's services — i.e., paying someone to send business to the lawyer. Intake QA is paid **by the firm to score the firm's own calls and re-engage the firm's own leaked leads**; Intake QA is not paid **for recommending or securing** the firm's services to anyone, and does not steer or refer claimants (fact 4). The firm's payment to Intake QA looks like a payment for **QA / software / analysis services**, which parallels the Rule 7.2 exception for the *reasonable costs of permitted*

advertisements/communications and ordinary vendor charges — not a bounty for client acquisition.

- **Against §6156 (out-of-state fee-sharing):** Intake QA is **not** an "alternative business structure," is **not** sharing **legal fees**, and receives a **flat subscription** rather than any share of legal fees (facts 1–2). §6156 is about attorneys funneling legal fees to nonlawyer-owned out-of-state entities; a flat B2B software/analysis subscription is a different animal.

Preliminary read

- "anything of value" clause: **APPEARS OUTSIDE** — because the fee is not "for recommending or securing" and Intake QA never steers claimants. (*Our analysis; Yang to confirm.*)

- §6156 out-of-state fee-sharing: **APPEARS OUTSIDE** — no legal-fee share, not an ABS, flat fee. (*Our analysis; Yang to confirm.*)

- **Residual risk / uncertain:** the phrase "**securing ... services**" and the phrase "**indirectly**" in the fee-sharing clause are the soft spots. If any copy or contract term could be read as Intake QA being paid to *generate signed clients* (rather than to *score and improve the firm's own process*), the "outside" read weakens. Our recovered-lead re-engagement feature is the place to look hardest — see §1-Q3.

Questions for Yang (AB 931)

- **Q1.** What is the exact new B&P section number carrying the "anything of value" prohibition, and does its precise text differ from Rule 7.2 in any way that matters to us?

- **Q2.** Does a **flat, outcome-agnostic** subscription paid **by the firm** for QA/scoring fall cleanly outside "compensate ... for the purpose of recommending or securing the services of the attorney," or is there a reading where an intake-improvement vendor is "securing" services?

- **Q3.** Our **recovered-lead re-engagement** helps the firm re-contact the firm's *own* prior leads, with a human at the firm approving every message and **Intake QA never contacting claimants**. Does that stay outside "anything of value for ... securing services," or does helping convert leads look like being paid to secure clients?

- **Q4.** Confirm we are **not** an "alternative business structure" and **not** "sharing legal fees ... directly or indirectly" under §6156, given the flat subscription.

2. SB 37 (2025) — anti-capping, private right of action, broadened "advertisement"

The prohibition (primary source)

SB 37 (Umbert), *Attorneys: unlawful solicitations and advertisements*, approved **Oct 11, 2025**, effective **Jan 1, 2026**. It toughens the anti-"capping"/runner regime and modernizes attorney-advertising rules. Key pieces (against the Senate Judiciary Committee analysis, <https://sjud.senate.ca.gov/system/files/2025-04/sb-37-umbert-sjud-analysis.pdf>, and the CalMatters bill page, https://calmatters.digitaldemocracy.org/bills/ca_20252026osb37):

- **Runner/capper (B&P §§6151–6152).** "*Runner or capper*" means a person/firm acting **for

consideration ... as an agent for an attorney or law firm in the solicitation or procurement of business."* §6152 makes it unlawful to act as a runner/capper or to solicit business for attorneys in specified settings. SB 37 amends this article (the analysis references §§6151, 6152, 6153, 6156, 6157, 6157.2).

- **Private right of action.** SB 37 *"would additionally authorize any person to bring a civil action for a violation of these provisions,"* for statutory damages, attorney's fees, injunctive relief, and other relief.

- **Civil penalty range.** A **minimum of \$5,000 up to a maximum of \$100,000 per violation, or three times** the amount at issue (per the SJUD analysis text).

- **Broadened "advertisement."** Redefined to cover *"any communication ... through any written,

recorded, or electronic means ... that provides information concerning a lawyer or the lawyer's services **for the purpose of encouraging individuals to secure the services of the lawyer.**"* The emphasis on *encouraging individuals to secure the services* points at **claimant/consumer-facing** communications.

Mapping our structure to SB 37

- **Runner/capper (§§6151–6152):** a capper acts **for consideration as an agent for the attorney in the solicitation or procurement of business — **i.e., someone who rounds up claimants and delivers them to a lawyer. Intake QA does the opposite: it never contacts claimants, never solicits or procures clients for the firm, and is paid a flat fee to score the firm's own calls**** (facts 1–4). We are not an agent procuring business; we are a vendor grading a process.

- **Private right of action:** because the underlying conduct (capping/unlawful solicitation/

deceptive advertising) does not describe what we do, the new private cause of action has no hook against our model **if** the facts hold. It does, however, **raise the stakes** on getting the analysis right — any misstep is now privately enforceable at \$5,000–\$100,000/ violation.

- **Broadened "advertisement"**: our marketing is **B2B — we sell software/analysis to law firms, not legal services to claimants. **Our newsletter, mailers, LinkedIn, and 1:1 email are not "encouraging individuals to secure the services of [a] lawyer."** They fall outside the redefined "advertisement," which is claimant-facing. **BUT SB 37 also targets unverifiable claims and misleading guarantees****, which reinforces our existing "no citation, no claim" / no-guarantee standards for anything a firm might republish.

Preliminary read

- Runner/capper §§6151–6152: **APPEARS OUTSIDE** — we neither solicit nor procure claimants;

wrong vector entirely. (*Our analysis; Yang to confirm.*)

- Broadened "advertisement": **APPEARS OUTSIDE** — B2B, not claimant-facing; but tighten copy

discipline (no unverifiable claims/guarantees). (*Our analysis; Yang to confirm.*)

- Private right of action: **not a separate prohibition**, but a **risk multiplier** — it makes the cost of being wrong much higher and invites plaintiff-side testing of novel vendors.
- **Residual risk / uncertain**: the recovered-lead re-engagement feature again deserves the hardest look — could a plaintiff creatively argue that helping a firm re-contact leads is "procurement of business"? See §2-Q2.

Questions for Yang (SB 37)

- **Q1.** Does an **independent QA/scoring vendor** that **never contacts claimants and never procures clients** sit entirely outside "runner or capper" (§§6151–6152) as amended?
- **Q2.** Does **recovered-lead re-engagement** (firm re-contacts its *own* prior leads; firm-human approves each message; Intake QA never messages claimants) risk being characterized as "solicitation or procurement of business" under §6152?
- **Q3.** Confirm our **B2B marketing to firms** is outside SB 37's broadened "advertisement" definition (claimant-facing), and identify any copy that could be read as claimant-facing.
- **Q4.** Given the new **private right of action** and **\$5,000–\$100,000/violation** penalties, what is the realistic exposure surface for a novel independent-scorer vendor, and what contract/copy language best insulates us?

3. Rule of Professional Conduct 5.4 (fee-sharing with nonlawyers)

The prohibition (primary source)

Rule 5.4 — a lawyer/law firm **shall not share legal fees directly or indirectly with a nonlawyer**, with exceptions. Relevant to us (from the State Bar rule text and executive summary):

- A nonlawyer employee's compensation ******"may not be based on a percentage or share of fees in specific cases or legal matters."******
- Firm-wide profit-sharing/retirement plans are allowed but ******"compensation may not be tied to the fees of specific cases."******
- Payments to a **State Bar-certified lawyer referral service** are allowed if it complies with the Minimum Standards and the lawyer complies with Rules 5.4, 7.2, 7.3.

Source: Cal. R. Prof. Conduct 5.4,

https://www.calbar.ca.gov/Portals/o/documents/rules/Rule_5.4.pdf; executive summary redline:

https://www.calbar.ca.gov/Portals/o/documents/rules/Rule_5.4-Exec_Summary-Redline.pdf

Mapping our structure to Rule 5.4

The Rule's own line is drawn at compensation **"tied to the fees of specific cases."** Intake QA's fee is a **flat monthly subscription, not tied to any case's fees, outcome, or the firm's revenue** (facts 1–2). That is the exact feature Rule 5.4 uses to *permit* nonlawyer compensation arrangements (e.g., overall-profit plans that are **not** tied to specific-case fees). A flat vendor subscription is even further from fee-sharing than a permitted profit-based employee plan, because Intake QA is not sharing in **fees** at all — it charges a price for a service.

Preliminary read

- **APPEARS OUTSIDE.** A flat, outcome-agnostic subscription is not "sharing legal fees" and is categorically not "tied to the fees of specific cases." (*Our analysis; Yang to confirm.*)
- **This is our brightest line and our strongest ground** — and it is exactly why our internal compliance standard bans, as a hard defect, any copy that hints at "% of recovery," "per case," "success fee," or "we only get paid when you do." The moment pricing language drifts toward outcome-tied, this clean read collapses.

Questions for Yang (Rule 5.4)

- **Q1.** Confirm a **flat, outcome-agnostic B2B subscription** is not "sharing legal fees ... directly or indirectly" and is not "tied to the fees of specific cases."

- **Q2.** Is there any **volume-tier** structure (e.g., price banded by call volume) that could be misread as indirectly tied to case outcomes? (Our tiers are by **call volume**, not cases/recovery — please confirm that distinction holds.)

4. Rules 7.1–7.3 (advertising / solicitation) — the claimant-vs-firm distinction

The prohibitions (primary source)

- **Rule 7.1** — no false or misleading communication about the lawyer or the lawyer's services.
- **Rule 7.2** — *"a lawyer shall not compensate, promise or give anything of value to a person for the purpose of recommending or securing the services of the lawyer or the lawyer's law firm,"* with exceptions (reasonable ad costs; legal-service-plan/qualified-referral charges; Rule 1.17 practice purchase; reciprocal referrals with notice; gifts not given in consideration of future referrals).
- **Rule 7.3** — *"solicitation" is "an oral or written targeted communication initiated by or on behalf of the lawyer that is directed to a specific person and that offers to provide ... legal services."* It targets **specific individuals** (i.e., prospective *clients*).

Source: State Bar Chapter 7, <https://www.calbar.ca.gov/legal-professionals/rules/rules-professional-conduct/current-rules-professional-conduct/chapter-7-information-about-legal-services>

Mapping our structure to 7.1–7.3

- **Rule 7.2 ("anything of value")**: same analysis as AB 931 §1 — the firm pays Intake QA for **QA/scoring**, not **"for recommending or securing"** the firm's services; Intake QA does not steer claimants. The parallel Rule 7.2 exceptions (reasonable costs of permitted communications; ordinary vendor charges) support the "outside" read.
- **Rule 7.3 (solicitation)**: governs a lawyer soliciting **prospective clients**. Intake QA solicits **law firms (businesses)**, never claimants. The claimant-vs-firm distinction must stay crisp and never blur into claimant-facing solicitation.
- **Rule 7.1 (no false/misleading)**: binds the lawyer's own communications; for us it maps to our own truthfulness standards — no unsubstantiated superlatives, no guaranteed-results implications, Yang framed only as a **named methodology/compliance reviewer**, never as endorsing outcomes or marketing the product.

Preliminary read

- **APPEARS OUTSIDE** on 7.2 (vendor fee, not a referral bounty) and 7.3 (we solicit firms, not claimants). (*Our analysis; Yang to confirm.*)
- **Risk to police, not a prohibition we trip:** copy discipline — any drift into (a) implying guaranteed recovery, (b) claimant-facing messaging, or (c) implying Yang endorses results — would create real 7.1/7.3 problems.

Questions for Yang (7.1–7.3)

- **Q1.** Confirm a flat QA/scoring vendor fee is outside Rule 7.2's "anything of value for recommending or securing" the lawyer's services.
 - **Q2.** Confirm our **firm-directed** (B2B) outreach is outside Rule 7.3 solicitation (which targets prospective *clients*), and flag anything in our outreach that risks reading as claimant-facing.
 - **Q3.** Is our framing of you as "**named methodology / compliance reviewer**" (never endorsing outcomes, never marketing the product) acceptable under Rule 7.1 and the testimonial/endorsement rules?
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5. B&P §§6151–6152 (capping / running) — the anti-capping backbone

The prohibition (primary source)

- **§6151** defines "*runner or capper*" as a person/firm/association/corporation acting ******for consideration in any manner or in any capacity as an agent for an attorney or law firm in the solicitation or procurement of business."******
- **§6152** makes it unlawful to **act as a runner or capper**, or to ****solicit** business for attorneys^{**} in specified settings; SB 37 toughens the article and adds the private right of action and enhanced penalties (§2 above).

Source: B&P §§6151–6152 via California Legislative Information / Justia; SB 37 amendments per the SJUD analysis (§2 sources).

Mapping our structure to §§6151–6152

The statutory hinge is "**solicitation or procurement of business**" — delivering **clients/claimants** to a lawyer for pay. Intake QA:

- never contacts claimants (fact 4);
- never solicits or procures **clients** for the firm;

- is paid a **flat fee** to **evaluate the firm's own intake and help the firm re-engage its own leads** (facts 1–3);
- is the **opposite vector** from a capper — it improves how the firm handles the leads the firm **already** has, rather than routing new claimants to a lawyer.

Preliminary read

- **APPEARS OUTSIDE.** We are not an "agent ... in the solicitation or procurement of business."
(*Our analysis; Yang to confirm.*)

- **The single hardest question in this memo:** does **recovered-lead re-engagement** — even though the firm owns the leads and a firm-human approves each message — risk being recharacterized as helping "procure business," especially now that SB 37 adds a **private right of action** and \$5,000–\$100,000/violation penalties that invite creative plaintiff theories? This is **uncertain** and is the risk we most want Yang to pressure-test. See §5-Q1/Q2.

Questions for Yang (§§6151–6152)

- **Q1.** Does an independent vendor that **never contacts claimants** and only helps a firm **score and re-engage the firm's own leads** sit outside "solicitation or procurement of business" — even under SB 37's toughened regime?
- **Q2.** What contract language, product guardrails, and copy discipline best keep the recovered-lead feature unambiguously **firm-owns-the-lead / firm-human-approves-every-send / vendor-never-touches-the-claimant**, so it cannot be recharacterized as capping?

6. Consolidated preliminary read (honest, tiered)

Regime	Preliminary read	Confidence
AB 931 — "anything of value"	Appears outside	Moderate (fee not "for ... securing"; but "securing"/"indirectly" are soft)
AB 931 §6156 — out-of-state fee-sharing	Appears outside	High (flat fee, not an ABS, no legal-fee share)
SB 37 — runner/capper	Appears outside	Moderate (wrong vector; but re-engagement feature is the soft spot)
SB 37 — broadened "advertisement"	Appears outside	High (B2B, not claimant-facing)

SB 37 — private right of action	Risk multiplier, not a hook	n/a — raises stakes
Rule 5.4 — fee-sharing	Appears outside	Highest (flat, outcome-agnostic; the bright line)
Rules 7.1–7.3	Appears outside	High on 7.2/7.3; 7.1 = copy discipline
B&P §§6151–6152 — capping	Appears outside	Moderate — the recovered-lead feature is the one to stress-test

These are Intake QA's own preliminary reads. Not one is a legal opinion. The two soft spots worth Yang's sharpest attention are (i) whether recovered-lead re-engagement could ever be read as "securing services" / "procurement of business," and (ii) exact statute section numbers and any drafting nuance in AB 931's newly codified "anything of value" clause.

7. Questions for Yang (master list)

1. **AB 931 §number:** exact new B&P section carrying "anything of value," and any text nuance vs. Rule 7.2. (§1-Q1)

1. **Fee character:** does a flat, outcome-agnostic, firm-paid QA subscription fall outside "compensate ... for ... recommending or securing the services" (AB 931 / Rule 7.2)? (§1-Q2, §4-Q1)

1. **Recovered-lead feature — the big one:** does helping a firm re-engage the firm's **own** leads (firm-human approves each send; vendor never contacts claimants) stay outside AB 931 "securing services" **and** §§6151–6152 "procurement of business" under the toughened SB 37 regime? (§1-Q3, §2-Q2, §5-Q1/Q2)

1. **§6156 / ABS:** confirm we are not an alternative business structure and not sharing legal fees, directly or indirectly. (§1-Q4)

1. **Rule 5.4 bright line:** confirm flat outcome-agnostic subscription ≠ fee-sharing and is not "tied to the fees of specific cases"; confirm **volume-tiered** pricing does not indirectly tie to outcomes. (§3-Q1/Q2)

1. **B2B vs. claimant-facing:** confirm our firm-directed marketing is outside SB 37's broadened "advertisement" and Rule 7.3 solicitation; flag any copy that reads claimant-facing. (§2-Q3, §4-Q2)

1. **Yang's framing:** is "named methodology / compliance reviewer" (never endorsing outcomes) acceptable under Rule 7.1 and endorsement rules? (§4-Q3)

1. **Private-right-of-action exposure:** given \$5,000–\$100,000/violation and the new PRA, what

is the realistic exposure surface for a novel independent-scorer vendor, and what contract/copy language best insulates us? (§2-Q4)

8. The hard rule (restated, non-negotiable)

NO public compliance claim of any kind — no "AB 931-compliant," "SB 37-compliant," "Rule 5.4-clear," or equivalent, in any website copy, deck, contract, outreach, or verbal pitch — **until a retained CA legal-ethics review actually signs off**. Ms. Yang's warm review is a first, invaluable pass and the source of the questions above; it is **not** the retained sign-off that unlocks public positioning. Until then, this memo and any resulting positioning stay **staged, never shipped**.

Source list (primary where possible)

- **AB 931** — bill + section text: https://leginfo.legislature.ca.gov/faces/billTextClient.xhtml?bill_id=202520260AB931 ;

B&P §6156: https://california.public.law/codes/business_and_professions_code_section_6156 and <https://law.justia.com/codes/california/code-bpc/division-3/chapter-4/article-9/section-6156/> ; operative "anything of value" language + exceptions + penalty: Senate Judiciary Committee analysis, <https://sjud.senate.ca.gov/system/files/2025-06/ab-931-kalra-sjud-analysis.pdf>

- **SB 37** — CalMatters bill page: https://calmatters.digitaldemocracy.org/bills/ca_202520260sb37 ;

Senate Judiciary Committee analysis (runner/capper defn, PRA, \$5,000–\$100,000 penalty, broadened "advertisement", §§6151/6152/6153/6156/6157/6157.2):

<https://sjud.senate.ca.gov/system/files/2025-04/sb-37-umberg-sjud-analysis.pdf> ; leginfo: https://leginfo.legislature.ca.gov/faces/billNavClient.xhtml?bill_id=202520260SB37

- **Rule 5.4:** https://www.calbar.ca.gov/Portals/o/documents/rules/Rule_5.4.pdf ;

exec-summary redline: https://www.calbar.ca.gov/Portals/o/documents/rules/Rule_5.4-Exec_Summary-Redline.pdf

- **Rules 7.1–7.3 (Chapter 7):**

<https://www.calbar.ca.gov/legal-professionals/rules/rules-professional-conduct/current-rules-professional-conduct/chapter-7-information-about-legal-services>

- **B&P §§6151–6152** (runner/capper): California Legislative Information / Justia

(<https://law.justia.com/codes/california/code-bpc/division-3/chapter-4/article-9/>)

- **Effective-date / chaptering context:** AB 931 approved 10/10/2025; SB 37 approved 10/11/2025; both eff. 1/1/2026; JDSupra/Shipkevich summary, <https://www.jdsupra.com/legalnews/attorney-fee-sharing-prohibited-8840366/>

End of draft. This is a set of questions for a lawyer, not a legal opinion. No public compliance claim until a retained CA legal-ethics review signs off.